FALLEN EMPIRES

Cousins Maine Lobster: the Shark Tank deal, broken down

Dramatized recap. All figures come from the sources listed at the end; "reported" means a press report, not an audited number.

The deal card

- **Show:** Shark Tank US, Season 4, Episode 6 (aired October 2012)
- **Founders:** Jim Tselikis and Sabin Lomac (cousins, Maine)
- **Ask:** $55,000 for 5% = implied valuation of $1.1 million
- **Deal:** Barbara Corcoran, $55,000 for 15% (she first asked for 17%, reported) = implied valuation of about $367,000
- **Other offer:** Robert Herjavec also made an offer (terms not confirmed)
- **After:** reported sales of about $20 million and franchising across the country

How to read the valuation

Valuation = amount ÷ share. $55,000 ÷ 0.05 = $1,100,000. $55,000 ÷ 0.15 = about $366,667.

The cousins gave up three times the equity they planned, so they accepted a much lower valuation in exchange for a partner they wanted.

3 things this case shows

1. They told producers they would only appear if Barbara Corcoran was in the room: they chose a partner, not just money.
2. A simple, repeatable product (a lobster roll from a truck) was easy to copy to new cities.
3. Franchising let the brand grow without the founders funding every truck.

2 mistakes to avoid

1. Treating the valuation you ask for as the valuation you will get: negotiation can cut it sharply.
2. Mixing up sales and valuation: $20 million in reported sales is not a $20 million company value.

Glossary

- **Equity:** the share of the company an investor owns.
- **Valuation:** what the whole company is worth, implied by price ÷ share.
- **Franchise:** other owners pay to run locations under your brand.

Sources

- Entrepreneur, "How 2 Maine Lobsters Rolled the Shark Tank": https://www.entrepreneur.com/article/278818
- Food Republic, "Cousins Maine Lobster: Here's What Happened After Shark Tank": https://www.foodrepublic.com/1367238/cousins-maine-lobster-shark-tank-now
- Fox News, "How 2 Maine Lobsters Rolled the Shark Tank": https://www.foxnews.com/us/how-2-maine-lobsters-rolled-the-shark-tank

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